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IT is hereby notified that the Minister of Finance, Economic Development, and Investment Promotion, in terms of section 60 of the Microfinance Act [*Chapter 24:30*], has made the following regulations—

PART I

PRELIMINARY

Title

1. These regulations may be cited as the Microfinance (General) Regulations, 2025.

Interpretation

2. In these regulations—

"agency banking" means the provision of any microfinance service by a registered microfinance institution through agents or third-party intermediaries;

"beneficial owner" means—

(a) a natural person who ultimately owns or controls the rights to or benefits from property including the person on whose behalf a transaction is conducted; or

(b) a person who exercises ultimate control over a legal person or a legal arrangement;

"branch" means any premises, other than the head office of a microfinance institution, where the microfinance institution conducts microfinance business;

"capital base" means the net capital of a microfinance institution arrived at by deducting from its gross capital—

(a) any investments in or lending of a capital nature to subsidiaries engaged in microfinance and financial activities which are not consolidated;

(b) encumbered assets acquired which have been pledged as collateral for borrowings or are encumbered by any caveats rendering them unavailable to meet losses arising from the institution's operations;

"close relative", in relation to any person, means—

(a) a spouse; or

(b) a child, step-child, parent or step-parent; or

(c) the spouse of any of the persons mentioned in (b) above;

"control" has the meaning given to it by subsection (2);

"core capital" (or "tier 1 capital") means capital representing a permanent commitment of funds by the shareholders of microfinance institution (net of any loans and advances given to an insider) which is available to meet losses incurred without imposing a fixed unavoidable charge on the institution's earnings, and includes such of the following elements as are available to the institution after making any required deductions—

(a) issued and fully paid up ordinary shares or common stock;

(b) share premium;

(c) paid up non-cumulative irredeemable preference shares;

(d) reserves consisting of—

(i) non-repayable share premiums;

(ii) disclosed reserves created by a charge to net income in the financial year immediately preceding the current one;

(iii) published retained earnings for the current year, including interim earnings, where these have been verified by external auditors;

(e) minority interests in subsidiaries arising on consolidation;

"core capital/Tier 1 capital ratio" means the ratio of core capital to total risk-weighted assets;

"gross capital" means the sum of the core capital and supplementary capital of a microfinance institution;

"required deductions", in relation to core capital, means the following deductions required to be made from core capital where they arise—

(a) the current financial year's unpublished losses;

(b) goodwill;

(c) equity funded through the capitalisation of revaluation reserves;

"risk-weighted assets" means assets in respect of which a risk weight part is applied;

"risk weight" means a percentage factor applied to assets to reflect their respective level of risk of loss to the microfinance institution;

"supplementary capital" (or "tier 2 capital") means capital other than core capital which imparts strength to a microfinance institution, and includes such of the following elements as are available to the institution—

(a) the current financial year's unpublished profits where provisions for taxation, dividends and bad debts have been made;

(b) the full extent of fixed assets revaluation reserves where they are carried through to the balance sheet;

(c) revaluation reserves arising from the holding of equity securities at historic cost and not at market values to the extent of 55 per centum of the reserve;

(d) general bad debt provisions to the extent of 1,25 per centum of total risk weighted assets;

(e) the full extent of any subordinated term debt (loan capital) whose remaining term to maturity is more than five years, and so much of any subordinated term debt whose remaining term to maturity is five years or less as is calculated by amortising or discounting such debt by a cumulative factor of 20 per centum per year of the remaining term to maturity:

Provided that this element will not be included to the extent that it exceeds 50 *per centum* of the core capital of the microfinance institution;

(f) hybrid (debt/equity) capital instruments such as cumulative preference shares which are unsecured and fully paid up and are available to meet losses;

(g) equity funded through the capitalisation of revaluation reserves;

(h) the full extent of any minority interests in cumulative redeemable preference shares; such hidden reserves as a supervisor may agree to be included in supplementary capital;

"total risk-weighted asset/capital adequacy ratio (CAR) ratio" means the ratio of total capital to total risk-weighted assets;

"financial exposure" arises as a result of lending activities, undertaking credit commitments including issuing financial guarantee or indemnity on behalf of a customer

or carrying out any other credit transaction for a person or customer;

"insider" in relation to a microfinance institution, means any employee, officer, director, associate or shareholder holding significant direct or indirect shareholding of the institution, and includes any related interest of such insider;

"loans and advances" means the extension of any credit or the provision of any credit facility, including the advance of funds arising from the fulfilment of guarantee and indemnity arrangements entered into between and by a microfinance institution and its customer;

"microfinance loan" means a credit facility advanced to any micro, small and medium enterprises or individual (as described in the definition of "credit only microfinance business" in section 2 of the Act) in any sector of the economy regardless of it being extended to an individual or body corporate;

"non-accrual asset" means any asset, including every non-performing asset, that is placed on a cash basis for financial reporting purposes and in respect of which interest is no longer accrued on the books of the microfinance institution nor taken into income unless paid by the borrower in cash;

"non-performing loan" means–

(a) in relation to credit-only microfinance institutions–

(i) that the asset is not generating any income, or is deemed not to be generating any income in that principal, interest or both is due and unpaid for thirty (30) days or more;

(ii) or interest payments equal to thirty (30) days or more have been capitalised, refinanced or rolled over;

(b) in relation to deposit-taking microfinance institutions–

(i) that the asset is not generating any income, or is deemed not to be generating any income in that principal, interest or both is due and unpaid for ninety (90) days or more;

(ii) or interest payments equal to ninety (90) days or more have been capitalised, refinanced or rolled over;

(c) in relation to deposit-taking microfinance institutions, current account overdrafts and other credit extensions not having pre-established repayment programmes are to be deemed non-performing if—

(i) advances exceed the customer's approved borrowing limit for ninety (90) consecutive days or more; or

(ii) the customer's borrowing line has expired for ninety (90) days or more; or

(iii) interest is due and unpaid for ninety (90) days or more; or

(iv) the account has been inactive for ninety (90) days and deposits are insufficient to cover the interest capitalised during that period;

"official rate" in relation to the rate of exchange of the United States Dollar to the local currency means the closing interbank rate of exchange on the day before the transaction in question;

"portfolio at risk" (PaR) in relation to a microfinance institution means the value of all outstanding loans that have one or more instalments of principal and interest past due for one or more days. The amount includes the entire unpaid principal balance, both the past due and accrued interest. It also includes loans that have been restructured or rescheduled;

"Portfolio at risk ratio" means the ratio used by a microfinance institution to measure portfolio quality and the risk in percentage terms that the outstanding loans may go into default;

"past due loan" means a loan whose interest or principal has, in terms of the loan contract, remained outstanding for one or more days;

"provisions" means amounts set aside to the provisions for loan losses account consisting of specific provisions and general provisions;

"principal officer" in relation to a deposit taking microfinance institution means the Chief Executive Office, the Chief Accounting Officer and the officers mentioned in section 8(1);

"related interest" means a close relative, any company, cooperative, private business corporation, or syndicate or association of persons which a person controls or in which the person has the largest single interest;

"restructured or re-negotiated loan" means a loan that has been modified to either lengthen or postpone the original scheduled instalment payments, or substantially alter the original terms and conditions of the loan, including loans disbursed to finance repayment or part payment of prior loans that were past due (refinanced loans).

(2) A person shall be deemed to exercise control over a microfinance institution if—

(a) where the person is a body corporate, the microfinance institution is its subsidiary; or

(b) whether the person is an individual or a body corporate, the person together with any associates or close relatives—

(i) is entitled to exercise more than 50 *per centum* of the voting rights in respect of any class of issued shares of the microfinance institution; or

(ii) is entitled or has the power to determine the appointment of a majority of the directors of the microfinance institution; or

(iii) holds shares in the microfinance institution whose total nominal value represents more than 50 *per centum* of the nominal value of all the issued

shares of the microfinance institution unless, due to limitations on the voting rights attached to the shares, the person and any associates or close relatives, voting together, cannot decisively influence the outcome of the voting at any general meeting of the microfinance institution's shareholders.

PART II

REGISTRATION AND PREOPENING REQUIREMENTS FOR MICROFINANCE INSTITUTIONS

Registration of microfinance institutions

3. (1) An application for the registration of a microfinance institution shall be in Form DTMFI 1 in the case of a deposit-taking microfinance institution and Form COMFI 1 in the case of credit-only microfinance institution, as specified in the First Schedule, and shall be accompanied by—

(a) an application fee, being an amount, in local currency, equivalent to US$ 1000.00. at the official rate, for a deposit-taking microfinance institution; or

(b) an application fee, being an amount, in local currency, equivalent to US$300,00. at the official rate, for a credit-only microfinance institution; or

(c) an application fee of—

(i) US$ 3000.00. for a deposit-taking microfinance institution; or

(ii) US$1500.00 for credit-only microfinance institution;

for an applicant whose head office is situated outside Zimbabwe; and

(d) a certified copy of the certificate of incorporation of the applicant company issued in terms of the Companies & Other Business Entities Act [*Chapter 24:31*], (for the avoidance of doubt foreign applicant company must incorporate a local subsidiary in Zimbabwe and not register as a foreign company); and

(e) a certified copy of the Memorandum and Articles of Association or other document incorporating or constituting the applicant as a body corporate, and regulating the conduct of business of the applicant; and

(f) in the case of a deposit-taking microfinance institution, an affidavit jointly deposed by the chairperson and a director of the applicant, showing the authorised and issued and paid-up capital of the applicant at a date not earlier than thirty (30) days before the date of application; and

(g) an authenticated copy of the share register nominees' applicant updated not earlier than thirty (30) days before the date of application of all shareholders, containing names, physical addresses, occupations, and the respective levels and values of the shareholdings (and if any shareholder is not the beneficial shareholder the applicant must disclose in an addendum to its application the same particulars of the beneficial owner if such beneficial owner holds 5 *per centum* or more the share of the company; and if one beneficial holder holds through one or more nominees' separate parcels of shares which aggregate to 5 *per centum* or more of the company, the particulars of such beneficial shareholder must also be disclosed); and

(h) proof of availability of capital in the form of a bank statement in the name of the applicant; and

(i) a list of directors of the applicant, containing names, physical addresses, occupations, and the respective levels and values of the shareholdings if any; and

(j) vetting documentation for shareholders holding significant interest, including the affidavit (Second Schedule), proposed directors and principal officers as required under the prudential standards or other vetting requirements as may be issued by the Reserve Bank from time to time; and

(k) a business plan of the applicant in accordance with the Second Schedule of the Act, and in the case of an applicant for a deposit taking microfinance institution, a preopening inspection checklist listing such of the features mentioned in the Third Schedule that it will be able to comply with at the end of the provisional registration period; and

(l) any other document or information as the Registrar may reasonably require in order to evaluate the application.

(2) In the case of an applicant who operates as a microfinance institution or other financial business outside Zimbabwe and whose head office is outside Zimbabwe, the following additional documents are required—

(a) a copy of the statement of financial position and a statement of comprehensive income of its microfinance or other financial business (and if the microfinance or other financial business is one component of a group of entities, whether engaged in micro-finance or other financial business or not, controlled by a holding company, such statement must also be furnished in relation to that holding company) in the place where is has its head office certified by auditors of the applicant, showing the authorised and paid-up capital and any unencumbered reserve funds:

Provided that such statements must relate to the financial year of the applicant immediately preceding the financial year in which it makes its application; and

(b) documentary evidence that the applicant is a financial institution or is authorised to conduct microfinance business in the country where its head office is situated; and

(c) documentary evidence that the applicant has been authorised by the regulatory authority of the country where its head office is situated to extend microfinance business to Zimbabwe.

(3) Upon the applicant satisfying the requirements of this section for registration, the Registrar shall make the appropriate entry in the register of microfinance institutions and issue—

(a) n the case of a deposit taking microfinance institution, a provisional registration certificate in terms of which the applicant has six months to complete those requirements of the preopening checklist which it is required to complete and those it has undertaken to complete;

(b) in the case of a credit only microfinance institution, a registration certificate for an indefinite period.

(4) In the event of any inconsistency between the particulars entered in the Register and any certificate of provisional or final registration, the particulars in the Register shall prevail.

Divestment of shares of disqualifying shareholders

4. (1) The Registrar after taking into consideration the affidavit referred to in section 3(1)(j) or any other information availed to him or her indicating that the shareholder is not a fit and proper person to hold such shareholding, may in writing require as a condition for the registration of a microfinance institution that any shareholder referred to in section 3(1)(j) must divest himself or herself of that shareholding within a specified time.

(2) Before requiring an applicant to take action under subsection (1), the Registrar must invite the applicant to make such representations on behalf of the shareholder as it may wish to make in defence of the shareholder concerned and the Registrar shall take into account such representations and give reasons to the applicant for his or her decision.

Commencement of microfinance business

5. (1) A deposit-taking microfinance institution may at any time no later than fourteen (14) days before the end of its provisional registration certificate obtain a final registration certificate by notifying the Registrar in writing that it has completed the preopening requirements it is required or has undertaken to complete, whereupon the Registrar shall without delay upon receiving a report of a supervisor that the

institution has adequately completed those requirements, issue to the institution a final registration certificate.

(2) The deposit taking microfinance institution seeking to obtain a final registration certificate must facilitate the work of the supervisor in ensuring that all preopening inspection requirements have been complied with.

(3) A deposit-taking microfinance institution that commences deposit-taking microfinance business without the authority required by subsection (1) shall be guilty of an offence and liable to a fine not exceeding level seven.

PART III

CORPORATE GOVERNANCE OF MICROFINANCE INSTITUTIONS

Board of directors of microfinance institution

6. (1) Not more than two-fifths of the directors of a deposit-taking microfinance institution shall be officers or employees of the institution and, of the remainder, the majority shall be non-executive and independent.

(2) The chairperson of every committee of the board of a deposit-taking microfinance institution, other than a committee with executive functions, shall be a non-executive and independent director.

(3) The board shall be comprised of individuals who collectively possess the necessary qualifications and experience commensurate with the size, complexity, and risk profile of the microfinance institution, including—

(a) academic or professional qualifications in banking, microfinance, legal, information and communication technology, or any other business-related qualification; and

(b) gender diversity.

Establishment of board committees

7. (1) In addition to the risk committee and audit committee, the board of every deposit-taking microfinance institution shall

constitute and maintain board committees to assist the board perform its oversight function effectively. In particular, the board committees will be responsible for—

(a) overseeing the credit origination and sanctioning process; and

(b) reviewing of loans and assessment of adequacy of loan provisions; and

(c) ensuring adequacy of internal controls and risk management systems, and compliance with laws and these regulations.

(2) Each of the board committees shall have comprehensive and clear terms of reference.

(3) Each board committee shall have a minimum of three (3) members.

(4) Every member of the board shall attend at least three quarters of the meetings of the board and board committees where he or she is a member in any financial year.

(5) The Registrar may on written application by the institution concerned, authorise in writing to the institution to dispense with any committee or to combine the functions of two or more committees where the Registrar is satisfied that the institution or its controlling company has put in place adequate structures to ensure oversight over the responsibilities of any committee dispensed with or combined with another:

Provided that risk assuming, and risk oversight roles are not compromised.

(6) the board of every credit-only microfinance institution shall establish either separately or combined, a risk and audit committee and any other committees necessary to assist the board to perform its oversight function effectively, provided that the committees may be at management or board level.

Principal officers of deposit-taking microfinance institutions

8. (1) In addition to the chief executive officer (CEO) and chief accounting officer (CAO), every deposit-taking microfinance

institution shall in terms of section 31(1) of the Act, appoint officers responsible for the following functions (by whatever other title designated)—

(a) risk management, and compliance (which at the discretion of the institution can be one or two officers);

(b) lending and credit administration;

(c) treasury and retail banking;

(d) internal audit;

(e) information communication technology and operations (which at the discretion of the institution can be one or two officers); and

(f) company secretarial services (which role, however, may be one of the functions of the chief accounting officer).

(2) If at the time of application for registration as a deposit taking microfinance institution any person has been earmarked to fill the post of any principal officer, the applicant shall furnish to the Registrar the following particulars (hereinafter called "vetting documents")—

(a) certified copy of his or her national identity document; and

(b) affidavit of fitness and probity in the format specified in the Second Schedule; and

(c) police clearance certificate less than six months old; and

(d) an employment resumé of the proposed appointee that includes at least three references; and

(e) appropriate proof of being qualified in the form of an affidavit or of relevant qualifications referred to in subsection (3).

(3) Principal officers of deposit-taking microfinance institution shall have either or both of the following—

(a) not less than three (3) years' experience as an employee in the banking or microfinance industry engaged in any of the responsibilities referred to in subsection (1)(a)-(f); or

(b) a professional or academic qualification that speaks to any of the responsibilities referred to in subsection (1) (a)-(f).

(4) Any post of a principal officer that becomes vacant after the registration of a deposit taking microfinance institution shall be filled on a probationary or temporary basis until the appointment is confirmed in terms of subsection (5).

(5) A deposit taking microfinance institution that makes a probationary or temporary appointment of a principal officer in terms of subsection (4), shall notify in writing the probationary or temporary appointment to the Registrar attaching to such notice the documentation relevant to the appointee that is referred to in subsection (2), and if no approval or rejection of the appointment is made after the expiry of thirty (30) days from the date that the Registrar has acknowledged receiving the notice:

Provided that if the Registrar on acknowledgement requests any further relevant information from the institution the time for the Registrar to confirm or reject the appointment shall be extended by another thirty (30) days from the date he or she requested the information.

(6) Subject to subsection (7), if a principal officer is not ordinarily resident in Zimbabwe, that is to say, is not resident in Zimbabwe for at least six consecutive months in every calendar year, it shall be deemed that the post of the principal officer is vacant and accordingly the institution must notify the registrar in terms of subsection (5).

(7) If a principal officer of a deposit taking microfinance institution requires for any reason to be out of the country for more than six consecutive months in any calendar year, the institution shall appoint a qualified person on a temporary basis to act for that principal officer and shall notify in writing the acting appointment to the Registrar attaching to such notice the reasons for the temporary absence of the substantive principal officer and the documentation relevant to the acting appointee that is referred to in subsection (2), and if no approval or rejection of the appointment is made after the expiry of thirty (30) days from the date that the Registrar has acknowledged receiving the notice:

Provided that if the Registrar on acknowledgement requests any further relevant information from the institution the time for the Registrar to confirm or reject the appointment shall be extended by another thirty (30) days from the date he or she requested the information.

(8) If the Registrar rejects any temporary, probationary or acting appointment of the principal officer and the post shall, if no appeal is lodged in terms section 50 of the Act in relation thereto or if it is lodged and the appeal is determined against the institution, be deemed to be vacant, that is to say the institution must appoint another person to fill the vacancy, for which purpose subsections (5) or (7) as the case may be shall apply.

(9) Any deposit taking microfinance institution that contravene subsections (4), (5), (6), (7) and (8) shall be guilty of an offence and liable to fine not exceeding level 7 or to imprisonment not exceeding six months or to both such fine and such imprisonment.

Principal officers of credit-only microfinance institution

9. (1) In addition to the CEO and CAO, a credit only microfinance institution may in terms of section 31(1) of the Act, appoint such officers as are necessary to carry out its operations.

(2) If at the time of application for registration as a credit only microfinance institution any person has been earmarked to fill the post of CEO and CAO, the applicant shall furnish to the Registrar the following particulars—

(a) certified copy of his or her national identity document; and

(b) affidavit of fitness and probity in the format specified in the Second Schedule; and

(c) police clearance certificate less than six months old; and

(d) an employment resumé of the proposed appointee that includes at least three references; and

(e) appropriate proof of being qualified in the form of an affidavit or of relevant qualifications referred to in subsection (3).

(3) CEO and CAO of credit only microfinance institution shall have either or both of the following—

(a) not less than three (3) years' experience as an employee in the banking or microfinance industry; or

(b) a professional or academic qualification that the Registrar deems to be relevant to conducting a banking or microfinance business.

(4) If the post of CEO and CAO becomes vacant after the registration of a credit only microfinance institution, it shall be filled on a probationary or temporary basis until the appointment is confirmed in terms of subsection (5).

(5) A credit only microfinance institution that makes a probationary or temporary appointment of a CEO or CAO in terms of subsection (4), shall notify in writing the probationary or temporary appointment to the Registrar attaching to such notice the documentation relevant to the appointee that is referred to in subsection (2), and if no approval or rejection of the appointment is made after the expiry of thirty (30) days from the date that the Registrar has acknowledged receiving the notice:

Provided that if the Registrar on acknowledgement requests any further relevant information from the institution the time for the Registrar to confirm or reject the appointment shall be extended by another thirty (30) days from the date he or she requested the information.

(6) Subject to subsection (7), if a CEO or CAO is not ordinarily resident in Zimbabwe, that is to say, is not resident in Zimbabwe for at least six consecutive months in every calendar year, it shall be deemed that the post concerned is vacant and accordingly the institution must notify the registrar in terms of subsection (5).

(7) If a CEO or CAO of a credit only microfinance institution requires for any reason to be out of the country for more than six consecutive months in any calendar year, the institution shall appoint a qualified person on a temporary basis to act for that principal officer and shall notify in writing the acting appointment to the Registrar attaching to such notice the reasons for the temporary absence of the substantive CEO or CAO and the documentation relevant to the acting

appointee that is referred to in subsection (2), and if no approval or rejection of the appointment is made after the expiry of thirty (30) days from the date that the Registrar has acknowledged receiving the notice:

Provided that if the Registrar on acknowledgement requests any further relevant information from the institution the time for the Registrar to confirm or reject the appointment shall be extended by another thirty (30) days from the date he or she requested the information.

(8) If the Registrar rejects any temporary, probationary or acting appointment of the CEO or CAO and the post shall, if no appeal is lodged in terms section 50 of the Act in relation thereto or if it is lodged and the appeal is determined against the institution, be deemed to be vacant, that is to say the institution must appoint another person to fill the vacancy, for which purpose subsections (5) or (7) as the case may be shall apply.

(9) Any credit only microfinance institution that contravene subsections (4), (5), (6), (7) and (8) shall be guilty of an offence and liable to fine not exceeding level 7 or to imprisonment not exceeding six months or to both such fine and such imprisonment.

PART IV

CONDUCT OF MICROFINANCE BUSINESS

Risk management framework

10. (1) Every microfinance institution shall ensure that robust risk management systems and structures are put in place, that enable the institution to adequately identify, measure, monitor and control risk.

(2) The appropriate risk management system should include the four key pillars of a sound risk management framework, namely, adequate board and senior management oversight, sound risk management policies and operating procedures, adequate management information system and adequate internal controls.

(3) Every microfinance institution shall ensure that the risk management framework is commensurate with the nature, scale, and complexity of their activities.

(4) The board of directors shall have the ultimate responsibility for ensuring that an adequate and effective system of internal controls is established and maintained.

(5) The board's mandate in relation to internal controls shall include—

(a) ensuring that senior management has developed and implemented a properly structured internal control system;

(b) periodic review of the effectiveness of the internal control system;

(c) timely reviews of evaluations of internal controls performed by management, internal auditors, and external auditors;

(d) periodic checks to ensure that management has promptly followed up on recommendations and concerns expressed by auditors and supervisory authorities on internal control weaknesses; and

(e) periodic reviews of the appropriateness of the microfinance's strategy and risk limits.

(6) Every microfinance institution shall maintain an organisational structure that clearly assigns responsibility, authority and reporting relationships and ensure adequate segregation of duties and effective delegation of responsibilities.

Internal controls

11. (1) Every microfinance institution shall put in place an effective internal controls system that is consistent with the nature, complexity, and risk inherent in its on- and off-balance sheet activities and that is designed to respond to changes in the institution's environment and circumstances.

(2) A deposit-taking microfinance institution should develop and maintain an internal controls framework that enables the recognition and continuous assessment of all material risks, including strategic, liquidity, operational, market, credit, reputational, legal and compliance risks which could adversely affect the financial condition and soundness of the institution.

(3) The assurance functions of a microfinance institutions, which include internal and external auditors, risk management, compliance as well as the audit committee, shall provide assurance to the board over the soundness of the institution's internal control environment and be responsible for providing public confidence in the institution by ensuring that the institution establishes and maintains reliable and effective internal control environment which enables accurate recording and accounting for all business transactions while complying with laws and regulations, as well as policies and procedures.

(4) Every microfinance institution shall be required to conduct an annual review of its internal controls system to ensure that control measures remain effective as business environment and information technology change.

Agency banking

12. (1) Subject to subsection (2), where a registered microfinance institution seeks to contract out any one or more services that it is authorised to provide, it shall be required to comply with the regulatory requirements and guidelines on agency banking as may be specified by the Registrar from time to time.

(2) No services other than those specified in the Fourth Schedule may be contracted out by any microfinance institution.

(3) It shall be the responsibility of the microfinance institution to determine, based on agent risk assessment, which services a particular agent may provide.

(4) An agent is not permitted to sub-contract another entity to carry out agency banking on its behalf.

PART V

FINANCIAL REQUIREMENTS AND ACCOUNTABILITY OF MICROFINANCE INSTITUTIONS

Minimum capital and reserves of microfinance institutions

13. (1) For purposes of section 33 of the Act, the minimum capital for microfinance institutions shall be as follows—

(a) an amount, in local currency, equivalent to US$5 000 000,00 for a deposit-taking microfinance institution, at the official rate; and

(b) an amount, in local currency, equivalent to US$25 000,00 for credit-only microfinance institutions, at the official rate.

(2) Every deposit-taking microfinance institution shall maintain a core capital ratio/ tier 1 ratio of not less than 10 *per centum* of the Risk Weighted Assets (RWA), and total capital adequacy ratio of not less than 15 *per centum* of the RWA or as may be directed by the Reserve Bank from time to time.

(3) The core capital shall comprise not less than 50 *per centum* of the capital base of the institution.

(4) The Reserve Bank may require a deposit-taking microfinance institution to maintain higher capital adequacy ratios if it considers that the institution—

(a) is loss making, which may result in capital deficiency; or

(b) is exposed to significant risk(s); or

(c) has high levels of non-performing loans and insider or connected lending; or

(d) is growing rapidly, without adequate capitalization or risk management systems among other resource needs; or

(e) is likely to be adversely affected by the activities or conditions of its holding company, associates or subsidiaries.

(5) In determining the level of unimpaired capital of a microfinance institution, every microfinance institution shall deduct from its core capital all outstanding loans and advances to related parties and insiders of the institution.

(6) Where the Reserve Bank determines that a microfinance institution is not complying with the minimum capital requirements and ratios, it may impose any of the corrective actions prescribed in terms of section 37 of the Act and any or all of the following measures—

(a) prohibit the declaration or payment of dividends;

(b) prohibit the establishment of new branches and introduction of new products and activities;

(c) direct the institution to suspend lending, investment, and borrowing activities;

(d) prohibit acquisition of fixed assets;

(e) prohibit acceptance of further deposits; or

(f) prohibit declaration and payment of bonuses, salary incentives, severance packages, management fees or other discretionary compensation to directors or officers.

Minimum disclosures by microfinance institutions

14. (1) No later than seven working days before the uploading of the interim report of a deposit taking microfinance institution on its website, and the uploading on its website and publication of its final report, both referred to in subsection (2), such report must be submitted to the Registrar, together with a certificate on the integrity and soundness of its information and communication technology systems, issued by the institution's auditor, at least seven working days before it is uploaded (in the case of an interim report), or published, and the Registrar may, on written notice to the deposit taking microfinance institution, require any false or misleading information in the reports to be omitted or modified:

Provided that publication of any report with or without omissions or modifications shall not be taken to constitute approval or endorsement by the Registrar of the contents thereof, and no depositor of or other interested person in such an institution can on the basis of any false or misleading statement published in a report sue the Registrar on any ground whatsoever.

(2) Every deposit-taking microfinance institution shall (not later than sixty (60) days after the end of the interim period) report to the public its half-yearly (interim) financial position by uploading it on its website, and displaying it in its banking halls, and shall (not later than ninety (90) days from the production of its final year-end audited results) report on its year-end financial position by uploading

it on its website, displaying it on its banking halls and publishing it in at least one widely circulated newspaper, and such reports shall comment on the financial performance of the institution since the previous reporting and on significant matters of corporate governance, including the following—

(a) risk exposures covering credit risk, market risk, liquidity risk, operational risk, legal risk compliance risk, and other types of risk;

(b) risk management systems, strategies and practices;

(c) corporate governance information including the following—

(i) corporate and governance structures including board composition, any significant corporate governance developments, issues pertaining to compliance or non-compliance with the Act and prudential standards issued by the Reserve Bank and other applicable laws;

(ii) the number of board meetings held during the year and the attendance record of each director;

(iii) composition of board committees, number of board committee meetings held during the year, attendance record of each director for these meetings and details of the committees' roles, functions and activities should also be disclosed;

(iv) a summary of the remuneration policies for directors and senior executives as well as the aggregate remuneration for directors giving details of earnings, share options and all other benefits.

(v) a summary of the policies on related party transactions, which should include the definition of relatedness, limits applied, terms of transactions, and the authorities and procedures for approving and monitoring these transactions;

(vi) the nature, size and purpose of related party transactions and intragroup transactions;

(vii) description of the process by which the organisation assesses the effectiveness of individual board members and the board as a whole;

(d) any issues that arose in connection with the compliance or otherwise by the institution with the Act and regulations.

(3) The following minimum disclosures shall be made in the statements of comprehensive income and statements of financial position of deposit taking microfinance institutions or in the notes to these financial statements—

(a) statement of comprehensive income (interest income, interest expense, dividend income fee and commission income, gains less losses arising from dealing securities, gains less losses arising from investment securities, gains less losses arising from dealing in foreign currencies, other operating income, other operating expenses, profit before charge for bad and doubtful debts, charge for bad and doubtful debts profit (loss) before taxation, taxation, profit (loss) after taxation, transfer to reserves, dividends);

(b) statement of financial position (assets and liabilities, cash and balances with Reserve Bank, deposits from other banks, treasury bills, other money market deposits, investments in government securities, customer deposits investments in subsidiaries and associates, certificates of deposit, other investments, placements with, and loans and advances to other microfinance institutions, promissory notes and other liabilities evidenced by paper, other borrowed funds, other money market placements, shareholders' funds, loans and advances to customers, fixed assets, other assets).

(4) The following additional disclosures shall be made as applicable—

(a) income and expense items shall not be offset except for those relating to hedges;

(b) the market value of securities shall be stated if different from carrying amounts in the statement of financial position;

(c) a maturity analysis of both assets and liabilities shall be provided;

(d) any significant concentration of assets, liabilities and off-balance sheet items shall be disclosed in terms of geographical areas, customer or industry groups or other concentrations of risk;

(e) the nature and amount of commitments to extend credit that are irrevocable;

(f) the nature and amount of contingencies and commitments arising from off-balance sheet items;

(g) with respect to losses on loans and advances—

(i) the accounting policy describing the basis on which uncollectible loans and advances are recognised as an expense and written off (all other accounting policies may be disclosed in the year end results only, except where changes have occurred);

(ii) the details of movements in the provision for losses on loans and advances (specific provision) during the period, that is, charge to income statement, amount written off, any recoveries and the balance;

(iii) the aggregate amount included in the statement of financial position for loans and advances on which interest is not being accrued and the basis used to determine such loans and advances (non-performing loans);

(h) any amounts set aside in respect of general microfinance risks (general provision);

(i) the latest onsite examination ratings including CAMELS and Risk Assessment System (RAS) matrix conducted by the Reserve Bank;

(j) components or amounts and ratios of Tier 1, Tier 2, and total capital;

(k) liquidity ratios including as at the end of the last 3 quarters.

Liquidity and funds management

15. (1) In this section—

"liquid assets" include notes and coins held by the institution, cash with other banking institutions or deposit taking microfinance institutions, treasury bills and domestic short-term investments with not more than one hundred and eighty (180) days to maturity and any other assets as may be prescribed from time to time by the Registrar.

(2) Every registered deposit-taking microfinance institution shall maintain a minimum holding of the liquid assets which shall not be less than 30 *per centum* of the liabilities to the public of its offices and branches in Zimbabwe as shown in the last monthly statement submitted to the Registrar.

(3) Every registered deposit-taking microfinance institution shall maintain the minimum holding of liquid assets referred to in subsection (1) at the close of each business day during the period from the 8th day of the calendar month in which a statement is required to be submitted to the Registrar in terms of section 17 until the 7th day of the following calendar month.

(4) The Reserve Bank may, in pursuance of its responsibility for the formulation and implementation of monetary policy in terms of the Reserve Bank of Zimbabwe Act [*Chapter 22:15*], by notice to the deposit-taking microfinance institutions concerned vary the percentage prescribed for the minimum holding of liquid assets.

Limits on investment in fixed assets

16. No registered deposit-taking microfinance institution shall invest in fixed assets, an amount exceeding 25 *per centum* of shareholders' funds or such other limit as may be set by the Reserve Bank from time to time.

Statements and reports to be submitted by microfinance institutions to Registrar

17. For the purposes of section 42(1) of the Act, every microfinance institution shall—

(a) within fourteen (14) days after the last day of each quarter, submit to the Registrar a return in Form COMFI 1 in the case of credit only microfinance institutions and Form DTMFI 1 in the case of deposit-taking microfinance institutions, along with a statement of financial position reflecting the total book and off-book assets of the microfinance institution as on the last day of the quarter;

(b) deposit taking microfinance institution to supply to the Registrar no later than the Tuesday following the end of the reporting week a weekly return in the form required by the Registrar showing—

(i) weekly deposit rates;

(ii) lending rates during the reporting week;

(c) supply to the Registrar no later than the fourteenth day following the end of the reporting month a monthly return in the form required by the Registrar showing maximum and minimum lending rates during the reporting month;

(d) supply to the Registrar such additional reports or returns in such form and at such intervals as the Registrar may require.

PART VI

ASSET QUALITY AND PROVISIONING

Interpretation in Part VI

18. In this Part—

"classified assets" means loans and advances of a microfinance institution classified in the manner specified in section 20 and 21.

Portfolio composition

19. Every microfinance institution shall maintain a portfolio of microfinance loans of not less than 60 *per centum* of the aggregate loan portfolio at all times.

Classification of assets in relation to deposit-taking microfinance institutions

20. (1) Every deposit-taking microfinance institution shall classify its loans and advances, into the following grades—

"pass" if the asset in question is performing in accordance with contractual terms and is expected to continue to do so while fully protected by the paying capacity of the obligor and arrears, if any, are past due thirty (30) days or less;

"special mention", if the asset in question—

(a) is past due more than thirty (30) days but less than ninety (90) days; or

(b) although currently protected, exhibits potential weaknesses which may, if not corrected, weaken the asset or inadequately protect the institution's position at some future date, for example, where:

(i) the asset in question cannot be properly supervised due to an inadequate loan agreement; or

(ii) the condition or control of the collateral for the asset in question is deteriorating; or

(iii) the repayment capacity of the obligor is jeopardized or adverse trends in the obligor's financial position; or

(iv) there is an unreasonably long absence of current and satisfactory financial information or inadequate collateral documentation in regard to the asset.

"substandard" if the asset in question—

(a) is past due for more than ninety (90) days but less than one hundred and eighty (180) days; or

(b) is a renegotiated loan, unless all past due interest is paid by the borrower at the time of renegotiation and a sustained record of timely repayment of principal and interest under a realistic repayment programme has been demonstrated for a period of not less than one hundred and eighty (180) days; or

(c) whether or not it is past due, is inadequately protected by the current paying capacity of the borrower by reason of the fact that:

(i) the primary source of repayment is insufficient to service the debt and the institution must look to secondary sources such as collateral, sale of fixed assets, refinancing or additional capital injections for repayment; or

(ii) there is an unduly long absence of current and satisfactory financial information or inadequate collateral documentation in regard to the asset; or

(iii) generally, there is more than a normal degree of risk attaching to the asset due to the borrower's unsatisfactory financial condition.

"doubtful", if the asset in question—

(a) is past due more than one hundred and eighty (180) days but less than three hundred and sixty (360) days; or

(b) exhibits all the weaknesses of a substandard asset and, in addition, is not well-secured by reason of the fact that collection in full, on the basis of currently existing facts, is highly improbable, but the actual amount of the loss is indeterminable due to pending events that have a more than reasonable prospect of mitigating the loss, such as a proposed merger, acquisition or liquidation, a capital injection, perfecting liens on additional collateral, refinancing plans, new projects or asset disposal.

"loss", if the asset in question—

(a) is past due for more than three hundred and sixty (360) days, unless such asset is well secured and legal action has actually commenced which is expected to result in the timely realization of the collateral or enforcement of any guarantee relating to the asset; or

(b) had been characterized as doubtful on account of any pending event referred to in the definition of "doubtful" above, and the event concerned did not occur within

three hundred and sixty (360) days, whether or not the event is still pending thereafter; or

(c) is otherwise considered uncollectible or of such little value that its continuance as an asset is not warranted.

(2) Every deposit-taking microfinance institution shall ensure that the institution's credit policy identifies credit risk management tools to be used for the institution to maintain low levels of PaR and achieve high levels of timeous repayments and loan recovery rates.

(3) Every deposit-taking microfinance institution shall maintain PaR (> 90 days) ratio of not more than 5 *per centum* of total outstanding loans at any given time in line with international best practice.

Classification of assets in relation to credit-only microfinance institutions

21. (1) Every credit-only microfinance institution shall classify its loans and advances, into the following grades—

"pass", if the asset in question is performing in accordance with contractual terms and is expected to continue to do so while fully protected by the paying capacity of the obligor;

"special mention", if the asset in question—

(a) is past due one (1) to thirty (30) days; or

(b) although currently protected, exhibits potential weaknesses which may, if not corrected, weaken the asset or inadequately protect the institution's position at some future date, for example, where—

(i) the asset in question cannot be properly supervised due to an inadequate loan agreement; or

(ii) the condition or control of the collateral for the asset in question is deteriorating; or

(iii) the repayment capacity of the obligor is jeopardized or adverse trends in the obligor's financial position; or

(iv) there is an unreasonably long absence of current and satisfactory financial information or inadequate collateral documentation in regard to the asset.

"substandard", if the asset in question—

(a) is past due thirty-one (31) to sixty (60) days; or

(b) is a renegotiated loan, unless all past due interest is paid by the borrower at the time of renegotiation and a sustained record of timely repayment of principal and interest under a realistic repayment programme has been demonstrated for a period of not less than ninety (90) days; or

(c) whether or not it is past due, is inadequately protected by the current paying capacity of the borrower by reason of the fact that—

(i) the primary source of repayment is insufficient to service the debt and the institution must look to secondary sources such as collateral, sale of fixed assets, refinancing or additional capital injections for repayment; or

(ii) there is an unduly long absence of current and satisfactory financial information or inadequate collateral documentation in regard to the asset; or

(iii) generally, there is more than a normal degree of risk attaching to the asset due to the borrower's unsatisfactory financial condition.

"doubtful", if the asset in question—

(a) is past due sixty-one (61) to ninety (90) days; or

(b) exhibits all the weaknesses of a substandard asset and, in addition, is not well-secured by reason of the fact that collection in full, on the basis of currently existing facts, is highly improbable, but the actual amount of the loss is indeterminable

due to pending events that have a more than reasonable prospect of mitigating the loss, such as a proposed merger, acquisition or liquidation, a capital injection, perfecting liens on additional collateral, refinancing plans, new projects or asset disposal.

"loss", if the asset in question—

(a) is past due for more than ninety (90) days, unless such asset is well secured and legal action has actually commenced which is expected to result in the timely realization of the collateral or enforcement of any guarantee relating to the asset; or

(b) had been characterized as doubtful on account of any pending event referred to in the definition of "doubtful" above, and the event concerned did not occur within ninety (90) days, whether or not the event is still pending thereafter; or

(c) is otherwise considered uncollectible or of such little value that its continuance as an asset is not warranted.

(2) Every credit-only microfinance institution shall ensure that the institution's credit policy identifies credit risk management tools to be used for the institution to maintain low levels of PaR and achieve high levels of timeous repayments and loan recovery rates.

(3) Every credit-only microfinance institution shall maintain PaR > (30 days) of not more than 5 *per centum* of total outstanding loans at any given time in line with international best practice.

Suspension of interest

22. (1) Where a loan is classified as non-performing, every microfinance institution shall suspend any interest on such loans and advances and shall observe the following—

(a) the interest in suspense shall not be treated as income; and

(b) all interest in suspense shall be taken into account in the computation of provisions for non-performing loans; and

(c) reverse any interest on non-performing loans or credit facilities accrued into income but uncollected; and

(d) a non-performing loan is returned to accrual basis only when all outstanding dues and unpaid obligations have been paid; and

(e) all interest on nonperforming loan or credit facilities previously accrued into income but uncollected is reversed and credited into the interest in suspense account until paid in cash by the borrower;

(f) the suspended interest account shall be offset against the gross value of loans and advances for financial reporting purposes; and

(g) If an institution has extended multiple loans or advances to a single borrower that are outstanding and any one of those loans or advances is classifiable as a nonaccrual asset, the institution shall forthwith evaluate every other such loan or advance to ascertain whether they should be reclassified as non-accrual assets.

(2) A non-accrual loan or advance may only be restored to accrual status when—

(a) Subject to subsection (3), none of its principal and interest is past due or overdue; and

(b) the microfinance institution expects repayment of the remaining contractual principal and interest.

(3) For purposes of subsection (2) (a), a microfinance institution must have received repayment of all the principal and interest in arrears unless the loan in question has been formally restructured:

Provided that the restructured loan shall revert to non-accrual status if thereafter it becomes past due or overdue.

Loan reviews

23. (1) Every microfinance institution shall review the quality of its loan portfolio not less frequently than each quarter, with a view to achieving the following objectives—

(a) to ensure the conformity of the loan portfolio and lending function to a sound lending policy documented, approved and adopted by the board; and

(b) to keep executive officers and the board adequately informed regarding portfolio risk; and

(c) to properly identify and classify problem credits and, as necessary, place them on a non-accrual basis in accordance with these Regulations; and

(d) to ensure that appropriate provisions for potential losses are made to the provision for loan losses account so as to maintain the account at an adequate level at all times; and

(e) to ensure that write-offs of identified losses are made in a timely manner.

(2) Loan reviews shall be conducted by the risk committee or any committee which is independent of any person or committee responsible for sanctioning credit and shall consist of at least three members.

(3) Reports of such loan reviews shall be made directly and timeously to the board of the microfinance institution and provide sufficient information to enable the board to require lenders to correct significant problems within a specified time frame.

(4) Every microfinance institution shall maintain sufficient records of every loan review, of evaluations of individual loans and advances, and of the entries made to its provision for loan losses account and shall make these available to the Reserve Bank on request.

Provisions for classified assets

24. (1) Every microfinance institution shall establish provision for loan losses account consisting of specific and general provisions

created through charges to provision expense in the statement of comprehensive income and maintained at a level adequate to absorb expected losses in the loan portfolio and in respect of other assets.

(2) The provision for loan losses account shall be offset against the gross value of loans, advances, and other assets for financial reporting purposes.

(3) Every loan loss shall be debited, and every recovery of a loan previously written off shall be credited, to the provision for loan losses account, and at no time shall either of these items be charged or credited directly to "retained earnings" or any other capital account.

(4) Every microfinance institution shall maintain general and specific provisions for performing and past due credit facilities (after deducting any suspended interest accruals), respectively as indicated in the table 1.

Table 1: General and Specific Provisions Requirements

Classification	Required Provision (COMFIs)	Required Provision (DTMFIs)	Type of provision	
Pass	1%	1%	General Provisions	
Special Mention	5%	3%		
Substandard	20%	20%	Specific Provisions	
Doubtful	50%	50%		
Loss	100%	100%		

(5) A loan graded "substandard", "doubtful" or "loss" shall be exempt from the provisioning requirement to the extent to which it is secured by cash or cash substitutes, a segregated deposit held by the microfinance institution, the net realizable value of any collateral, or a reliable guarantee.

(6) Every deposit-taking microfinance institution shall seek prior approval of the Reserve Bank to write-off insider and related party loans.

(7) The Reserve Bank may require a microfinance institution to make adjusting entries in its provision for loan losses account if it determines that the provisions made are inadequate.

Prudential lending limits

25. (1) Subject to these regulations, the aggregate of loans and advances outstanding at any time to any single person, partnership or common enterprise other than a corporate group, shall not exceed 25 *per centum* of a deposit-taking microfinance institution's net capital base.

(2) The aggregate of loans and advances outstanding at any time to any single corporate group shall not exceed 75 *per centum* of a deposit-taking microfinance institution's net capital base for the whole group or 25 *per centum* to any single member of a corporate group:

Provided that the aggregate financial exposure to all insiders shall not exceed 10 *per centum* of the deposit-taking microfinance institution's net capital base.

(3) All loans and advances extended to related parties and insiders of a deposit-taking microfinance institution shall be required to meet the following conditions—

(a) the transaction has been approved by the board of the deposit-taking microfinance institution (without the participation of any director or principal officer to whom the credit is sought to be extended in the decision to approve the extension of the credit); and

(b) the credit does not exceed 10 *per centum* of the paid-up equity capital of the deposit-taking microfinance institution; and

(c) the credit is covered by one 100 *per centum* collateral; and

(d) the credit is deducted from the paid-up equity capital of the deposit-taking microfinance institution; and

(e) the loan, advance or extension of credit shall be made on substantially, the same terms including eligibility, interest rates and collateral as those prevailing at the time for comparable transactions by the deposit-taking microfinance institution with other persons that are not insiders; and

(f) the loan, advance or extension of credit shall not be granted to any person if any other loan to that person is non-performing.

(4) Every deposit-taking microfinance institution is required to establish appropriate limits for products and activities in addition to limits for particular industries or economic sectors, as well as geographical regions to manage concentration risk.

(5) Every deposit-taking microfinance institution shall periodically review credit limits to take into account changes in economic and other relevant conditions.

(6) Every deposit-taking microfinance institution shall establish appropriate limits at the end of each quarter, submit a report on its insider loans in the manner and form as may be directed by the Registrar.

PART VII

SHAREHOLDING LIMITS IN MICROFINANCE INSTITUTIONS

Limits on shareholding and transfer of shares in microfinance institutions

26. (1) For purposes of section 34 of the Act, microfinance institutions shall comply with the following shareholding limits—

(a) no part of the minimum capital or core capital of a deposit taking microfinance institution shall consist of borrowed funds;

(b) no individual or individual and related interests may own or control, directly or indirectly—

(i) in the case of a deposit-taking microfinance institution, more than 25 *per centum* of the voting shares of a deposit-taking microfinance institution; and

(ii) in the case of a credit-only microfinance institution, more than 50 *per centum* of the voting shares of a credit-only microfinance institution;

(c) no company other than a financial institution or a controlling company approved by the Reserve Bank in terms of the Banking Act [*Chapter 24:20*] may own or control, directly or indirectly, more than 50 per centum of the voting shares of a deposit-taking microfinance institution;

(d) subject to prior regulatory approval, a company may own more than 50 *per centum* of the voting shares of a credit-only microfinance institution.

(2) Subsection (1)(b) and (c) do not apply to the State holding shares in a microfinance institution, whether in its own name, company or entity holding the shares on its behalf.

(3) Upon written application to that effect having been made by the shareholder concerned, the Registrar may, by written notice to the shareholder and the microfinance institution concerned, give approval for acquisition of shareholding in a microfinance institution, if the Registrar is satisfied that—

(a) the shareholder meets the fitness and probity criteria as determined by the Reserve Bank; and

(b) the shareholding meets with the prescribed limits set in these regulations.

(4) If, on application being made, the Registrar refuses to give approval in terms of subsection (3), the Registrar shall, within ten days after reaching the decision, notify the applicant, in writing, of the decision and the reasons thereof.

(5) Within thirty (30) days, after a microfinance institution becomes aware that a person holds its shares in contravention of subsection (1), the institution shall notify the Registrar, in writing.

(6) For the purposes of this section, shares in a microfinance institution which are held by—

(a) an individual shall be deemed to include any shares in the same deposit-taking microfinance institution which are held by a close relative of the individual.

(b) a body corporate shall be deemed to include any shares in the same microfinance institution which are held by an associate of the body corporate.

Acquisition of significant interest in a microfinance institution

27. (1) For purposes of section 34 of the Act—

"significant interest" means a percentage of—

(a) the share capital of a microfinance institution; or

(b) the voting rights of members of a microfinance institution;

which equates to 5 *per centum* or more of the total share capital or voting rights of members, as the case may be, of the microfinance institution.

(2) No—

(a) person shall knowingly acquire a significant interest in a microfinance institution; and

(b) microfinance institution shall permit any one person to acquire a significant interest in it;

unless the Registrar, by written notice to the microfinance institution concerned, has granted approval for the acquisition.

(3) In any proceedings in which it is alleged that a person has contravened subsection (2), it shall be presumed, unless the contrary is proved, that the person had the knowledge referred to in that subsection.

(4) Within thirty (30) days after becoming aware that a person has acquired or obtained a significant interest in a microfinance institution, the institution concerned shall notify the Registrar, in writing, of that development.

(5) An application by a person for the acquisition of a significant interest in a microfinance institution made in terms of section 34(4) of the Act shall be in Form MFI 3 (Fifth Schedule) and shall be accompanied by a fee of US$ 800,00 for foreign applicants, or an amount in local currency equivalent to US$ 800,00. at the official rate for local applicants, and the following documents—

(a) In the case of an individual—

(i) a business plan of the applicant, where the acquisition will result in a change of control in the microfinance institution;

(ii) vetting documents as required under the prudential standards issued by the Registrar in terms of the Act or other vetting requirements as may be issued from time to time;

(iii) proof of capability and availability of funds to pay for the acquisition, or where acquisition has occurred documentary evidence of payment for the acquisition, clearly showing the nature of the payment;

(b) in the case of a corporate applicant whose head office is situated in Zimbabwe—

(i) Certified copies of Memorandum & Articles of Association or other document relating to the incorporation of the applicant as a body corporate, and regulating the conduct of the business of the applicant;

(ii) Certified copy of Certificate of Incorporation;
(iii) Certified copy of Form CR6;

(iv) Copies of audited financial statements for the past two (2) years;

(v) Original copy of tax clearance certificate of the applicant valid for the current year; and

(vi) a business plan of the applicant, where the acquisition will result in a change of control of the microfinance institution;

(c) in the case of an applicant whose head office is situated outside Zimbabwe—

(i) a true copy, certified by the chairman and a director of the applicant, of the law, the memorandum and articles of association, regulations or other document relating to the incorporation of the

applicant as a body corporate, and regulating the conduct of the business of the applicant; and

(ii) a true copy, certified by the chairperson, a director and the auditors of the applicant, of the statement of financial position and statement of comprehensive income account of the applicant for at least the past two financial years of the applicant immediately preceding the date of the application as submitted to the annual general meetings of shareholders or members; and

(iii) a business plan of the applicant, where the acquisition will result in a change of control of the microfinance institution;

(d) where new board members, and principal officers are appointed each of them should submit vetting documents;

(e) All vetting documents originating from outside Zimbabwe are required to be notarised by a duly registered Public Notary except for the employment resumé.

(6) If, on application being made, the Registrar refuses to approve the acquisition by any person of a significant interest in a microfinance institution, the Registrar shall, within ten (10) days after reaching his or her decision, notify the applicant, in writing, of the decision and of the reasons for it.

(7) For the purposes of this section, shares in a microfinance institution which are held by—

(a) an individual shall be deemed to include any shares in the same deposit taking microfinance institution which are held by a close relative of the individual;

(b) a body corporate shall be deemed to include any shares in the same microfinance institution which are held by an associate of the body corporate.

(8) The Registrar may require any person who acquires shareholding in a microfinance institution without approval to divest from the institution.

(9) A shareholder who is required to divest himself or herself of any shares and who fails without just cause to comply with the requirement shall be liable for—

(a) a monetary penalty of an amount, in local currency equivalent to US$50,00, at the official rate (or the maximum monetary figure specified from time to time for level ten, whichever is the higher amount) for each day that the shareholder remains in default, not exceeding a period of one hundred and eighty (180) days;

(b) where the shareholder continues to be in default after the period specified in paragraph (a), he or she shall be guilty of an offence and liable on conviction to a fine not exceeding level ten or to imprisonment for a period not exceeding six months or to both such fine and such imprisonment.

PART VIII

GENERAL

Appeals to Minister

28. (1) Any person who is aggrieved by the decision, proposal or action of the Registrar or the Reserve Bank may in terms of section 50 of the Act appeal against the decision, proposal, or action to the Minister by lodging the appeal in writing with the Registrar no later than thirty (30) days of the date when the appellant was notified of the decision, proposal or action appealed against.

(2) An appeal shall incorporate the following particulars—

(a) the name and address of the appellant and of his or her legal representative; and

(b) the specific decision proposal or action being appealed against (for which purpose an authenticated copy of the notification of such decision, proposal or action shall be attached); and

(c) the grounds on which the decision, proposal or action should be reversed or reconsidered in favour of the appellant.

(3) The Registrar shall forthwith and in any event not later than seven (7) days of the lodging of the appeal transmit it to the Minister and without delay notify the appellant in writing of the date on which the appeal was transmitted to the Minister of his or her decision.

(4) Upon receipt of an appeal the Minister may within thirty (30) days—

(a) dismiss the appeal by upholding the decision, proposal or action appealed against; or

(b) refer the decision, proposal or action back to the Registrar or Reserve Bank for reconsideration (whether with or without directions on how the decision, proposal or action is to be reconsidered, including a direction to the Registrar or Reserve Bank to investigate the matter further) on any one or more of the following grounds—

(i) allowing extraneous or irrelevant considerations to affect the decision, proposal or action, or

(ii) failure to take into account relevant considerations in arriving at the decision, proposal or action, or

(iii) any material mistake of fact or law that tainted the decision, proposal or action; or

(iv) interest in the cause, bias, malice or corruption on the part of any person involved in making or contributing to the decision, proposal or action:

Provided that the Minister shall not make a finding on this ground without affording the Registrar or the Reserve Bank an opportunity to respond to such finding.

Fees for inspection and copies of entries of register of microfinance institutions

29. (1) For the purposes of section 9(2) of the Act, the fee payable by a member of the public for inspecting the register of microfinance institutions shall be an amount, in local currency, equivalent to US$10,00, at the official rate.

(2) A member of the public wishing to obtain an authenticated copy of any entry in the Register shall pay an additional fee of US$10,00, for each entry.

Annual fee payable by microfinance institutions

30. (1) The annual fee payable to the Registrar by a registered microfinance institution in terms of section 14A of the Act shall be calculated as follow—

(a) for deposit-taking microfinance institutions, US$100,00 for every US$1 000 000,00 worth of assets of the microfinance institution, calculated on the annual average asset size of the microfinance institution for each year ending on the 31st December, up to a maximum of US$5 000,00 and a minimum annual fee of US$1 500,00, payable at the official rate; and

(b) for a credit-only microfinance institution, an amount, in local currency, equivalent to five hundred United States dollars, at the official rate.

(2) The annual fee referred to in subsection (1) shall be paid not later than the 31st March of the year following that in respect of which the fee is payable.

(3) If a microfinance institution fails to pay the annual registration fee timeously it shall be liable to pay a penalty fee of a quarter of the principal fee for each month of non-payment up to a limit of three months, for which purpose the Registrar shall notify them in writing accordingly, and if any part of the principal and penalty fee is unpaid, the Registrar may institute proceedings in a court of competent civil jurisdiction for recovery of the outstanding fees and penalty fees as if such amount was a liquid debt due to the Reserve Bank.

(4) If any part of the principal and penalty remains unpaid by the 1st of July in any year in which they were due to be paid, the Registrar may institute cancellation of registration proceedings in accordance with section 12 of the Act.

Retention of records by microfinance institutions

31. (1) Every microfinance institution shall—

(a) maintain at its registered office, proper records of transactions referred to in section 21(1) and (2) of the Act for a period of not less than ten (10) years in the case

of a deposit taking microfinance institution or five (5) years in the case of a credit-only microfinance institution from a date on which they originated, in written form or in electronic form, and if kept in electronic form it must be in such form that the Registrar can access it, that is to say if encrypted the Registrar must be availed the encryption key and the records must otherwise be availed at the request of the Registrar in intelligible and machine readable form;

(b) put in place adequate risk management systems to ensure that there is a material or electronic backup for every record in paragraph (a) in anticipation of any such record being destroyed or lost in unforeseeable circumstances.

(2) If the Registrar requests a specified record that was required to be retained under subsection (1) and the microfinance institution concerned—

(a) fails to avail it on the grounds that it no longer exists; or

(b) wilfully fails to avail it; or

(c) refuses to avail the record in intelligible or machine-readable form or to give the Registrar the means to decrypt such record;

the microfinance institution shall be liable for—

(i) a monetary penalty of an amount, in local currency equivalent to US$50.00, at the official rate (or the maximum monetary figure specified from time to time for level ten, whichever is the higher amount) for each day that the microfinance institution remains in default, not exceeding a period of one hundred and eighty (180) days;

(ii) where the microfinance institution continues to be in default after the period specified in paragraph (a), he or she shall be guilty of an offence and liable on conviction to a fine not exceeding level ten or to imprisonment for a period not exceeding six months or to both such fine and such imprisonment.

Procedure of microfinance advisory council

32. The procedure of the microfinance advisory council appointed in terms of section 5A of the Act is set forth in the Sixth Schedule.

FIRST SCHEDULE (*section 3(1)*)

FORM DTMFI 1

APPLICATION FOR REGISTRATION AS A DEPOSIT-TAKING MICROFINANCE INSTITUTION

Instructions on how to complete this form.

- Attach annexures wherever necessary.
- Do not leave any questions blank or unanswered: where necessary answer "Not applicable" or "Not known".
- All responses in this form and all annexures shall be typewritten (block letters).
- Upon completion the original of this form and supporting annexures shall be submitted to:

  The Registrar of Microfinance Institutions,
  Bank Supervision Division,
  Reserve Bank of Zimbabwe.
  80, Samora Machel Avenue, Harare.
- All inquiries concerning this form should be directed to The Registrar as above.

PRELIMINARY

State the name, address and telephone number(s) of the person(s) who may be contacted regarding any questions in respect of this application: .....

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PARTICULARS AND INFORMATION RELATING TO THE APPLICANT DEPOSIT-TAKING MICROFINANCE INSTITUTION

1. Name under which applicant deposit-taking microfinance institution ("the applicant") seeks registration:

2. Physical address of the applicant head office: .....
.....
.....

3. What type of deposit-taking microfinance activities does the applicant propose to engage in? *Please take note of the restrictions in terms of section 25 of the Microfinance Act* [*Chapter 24:30*].

(Tick the applicable):

(a) receiving deposits on a time/savings account basis; ☐

(b) granting of acceptance facilities; ☐

(c) discounting of bills. ☐

(d) extending consumer/commercial/industrial loans; ☐

(e) extending commercial/residential mortgage credit; ☐

(f) hire-purchase financing/financial leasing/factoring (with/without recourse); ☐

(g) financing commercial transactions; ☐

(h) export-import trade financing; ☐

(i) buying and selling instruments, whether for the account of the microfinance institution concerned or for the account of its customers, including the underwriting of:—

(i) money market instruments including cheques, bills of exchange and certificates of deposit; ☐

(ii) futures, options and other financial derivatives relating to debt securities or interest rates; ☐

(iii) interest rate instruments; and ☐

(iv) debt securities and equity; ☐

(j) providing money transmission services; ☐

(k) issuing and administering credit cards/travellers' cheques/bankers' drafts; ☐

(l) the safekeeping and administration of valuables/securities; ☐

(m) entering into or taking cession of hire-purchase contracts in accordance with the Hire-Purchase Act [*Chapter 14:09*]; ☐

(n) providing credit reference services; and ☐

(o) other deposit-taking microfinance activities (specify). ☐

5. In the case of any other deposit-taking microfinance business or activity conducted or to be conducted by the applicant inside or outside Zimbabwe, any

other name(s) under which it conducts or proposes to conduct such business or deposit-taking microfinance activity, the location and nature, the details of any licences, registrations or other authorisations issued and the names and addresses of the issuers of the same.

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6. Address of applicant's principal administrative office in Zimbabwe: .....
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7. Name, physical address and telephone numbers of the Chairperson: .....
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8. Name, physical address and telephone numbers of Chief Executive Officer: .....
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9. Name, physical address and telephone numbers of Chief Accounting Officer: .....
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10. Names, physical addresses, and telephone numbers of directors (list)

Name	***Designation***	***Address***	***Telephone***

11. Names and addresses of the officers responsible for the following departments, portfolios or functions (provide a list):

(a) risk management;

(b) compliance;

(c) lending and credit administration;

(d) operations and internal controls;

(e) treasury operations;

(f) information technology; and

(g) retail banking.

Designation	***Name***	***Address***	***Phone Number(s)***

12. Indicate the capital structure of the applicant under the following headings:

(a) Authorized share capital ……

(b) Paid-up share capital ……

(c) Share Premium .....

Total .....

State the Source of Capital .....

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13. (a) Shareholders of the applicant (direct and indirect).

Name of Shareholder	*Number of Shares*	*Percentage of Total Shares*

(b) If some shareholders mentioned in 13(a) above are natural persons, state their names, nationality and place of permanent residence.

Name of Shareholder	*Nationality*	*Place of Permanent Residence*

(c) If some of the shareholders mentioned in 13(a) above are juristic persons/corporate bodies, please submit certified copies of Certificates of Incorporation, Memorandum and Articles of Association or other constitutive documents.

(d) State below the names of natural persons who are beneficial owners of shares in the institutional shareholders mentioned in 13(c).

Institutional Shareholder	***Individual Shareholders***	***Percentage of Total Shares***

14. Where shares are held by juristic persons, shareholders should submit an affidavit declaring the details of ultimate beneficial shareholders, which should include names of institutional shareholders, the full names of natural persons who are beneficial owners of shares in the institutional entity and their respective percentage shareholding.

15. (a) businesses/companies associated/affiliated with directors or businesses/companies in which directors hold a senior position

Director's Name	***Business Interests***

(b) businesses/companies associated/affiliated with directors' close relative or businesses/companies in which directors' close relative hold senior positions.

Director's Name	***Close Relative's Name***	***Business Interests***

16. Name, address and type of business of any associate of the applicant
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17. Describe all business relationships which any of the directors or principal officers have or propose to have with the applicant, giving details of the following, if applicable:

(a) Borrowings: (to what extent is any director or officer indebted to or permitted to borrow from the applicant? Provide details ..
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(b) Guarantees: (has the applicant directly or indirectly guaranteed, underwritten or otherwise secured any business or obligation of

any director or officer or does it propose to do? Yes/No. If yes, provide details) .....

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(c) Consulting, management or service contracts: (to what extent will any director or officer directly or indirectly provide consulting, management, advisory or other types of services under contractual arrangement or otherwise to the applicant? Provide details. .....

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18. Name, address and qualifications of the applicant's auditors in Zimbabwe (in the case of a partnership, give the name of the partnership and of the partner principally responsible for the audit of the applicant): .....

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19. Has any acquisition debt been incurred by any of the initial shareholders of the applicant, that is, has any loan been taken by, or guarantee or surety given on behalf of, any of the initial shareholders of the applicant for the purpose of purchasing shares in the applicant? Yes/No. If yes, provide details. .....

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20. Does the applicant own or control 5% or more of the share capital or voting rights of any other microfinance institution or banking institution? Yes/No. If yes, provide details, including percentage and form of ownership or control.

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21. Provide details of applicant's past and present membership of or affiliation to any professional or trade association concerned with microfinance or banking activities in Zimbabwe or elsewhere, including details of any refusal, termination

or lapsing of such membership or affiliation and the reasons thereto.....
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22. Has the applicant or any of its associates ever been censured, disciplined, penalised, suspended, prosecuted, convicted, warned as to conduct, investigated or subjected to proceedings by or at the instance of any governmental agency, regulatory authority or professional association within or outside Zimbabwe, whether in connection with its banking activities or otherwise? Yes/No. If yes, provide details.....
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23. Has the applicant or any of its associates ever been or is now the subject of any litigation, in Zimbabwe or elsewhere, which may have a material effect on its resources? Yes/No. If yes, provide details.....
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24. Does the applicant or any of its associates have any outstanding judgment debt issued in Zimbabwe or elsewhere? Yes/No. If yes, provide details. .....
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25. Has the applicant or any of its associates been adjudged by a court in Zimbabwe or elsewhere to be civilly liable for fraud, malfeasance, or other misconduct on its part? Yes/No. If yes, provide details. .....
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26. Has the applicant or any of its associates ever, under the law of any other country: —

(a) been adjudged or otherwise declared insolvent or bankrupt and has not been rehabilitated or discharged?: **Yes/ No**;

(b) made an assignment to, or, arrangement or composition with, his creditors, which has not been rescinded or set aside?: **Yes/ No**;

(c) been convicted of theft, fraud, forgery, uttering a forged document or perjury or any other offence, by whatever name called, that is similar to any of those offences?; **Yes/ No**;

(d) been convicted of any offence and sentenced to a term of imprisonment exceeding six months, imposed otherwise than as an alternative to or in default of payment of a fine, and has not received a free pardon? **Yes/ No**.

If the answer to any of these questions is **"Yes"**, provide details. .....

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27. Are there any material disputes between the applicant and the Zimbabwe Revenue Authority or the authority responsible for collecting taxes in any other country with respect to any assessment for income tax or other taxes payable by the applicant? **Yes/No**? If yes, provide details. (Attach tax clearance certificates) ..

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28. Describe the premises and equipment (furniture, fixtures, office machines, vehicles, etc.) to be used by the applicant, indicating whether and from whom they are purchased, leased, acquired under a hire purchase agreement or instalment sale, or otherwise. .....

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29. Complete the Checklist for Information Requirements attached hereto.

30. Provide any other information in connection with this section of the application that may assist the Registrar in fully evaluating the merits of this application.

Declaration

We, the undersigned, Chairman and members of the Board of Directors of the applicant, do hereby certify that—

(i) all information given in response to and in support of the questions and items in this application is true and correct to the best of our knowledge and belief;

(ii) this application is made in good faith with the purpose and intent that the affairs and business of the applicant will at all times be honestly conducted in accordance with good and sound business principles and in full compliance with all applicable laws and lawful directives.

We further certify that to the best of our knowledge and belief there are no other facts or information relevant to this application of which the Reserve Bank of Zimbabwe should be aware, and we pledge to promptly inform the Reserve Bank of Zimbabwe of any changes material to this application which may arise while it is being considered by the Reserve Bank of Zimbabwe. We undertake to comply with all information requests by the Reserve Bank for regulatory/supervisory purposes, and hereby authorize the Reserve Bank of Zimbabwe and any of its authorised staff to make an inquiry or obtain any information from any source for the purpose of determining the correctness of all representations made in connection with this application or of assessing its merits.

Chairman of the Board (print name)

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Signature

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Chief Executive Officer (print name)

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Signature

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Director (print name)

.....

Signature

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Director (print name)

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Signature

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Director (print name)

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Signature

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Director (print name)

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Signature

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FIRST SCHEDULE (*section 3(1)*)

FORM COMFI 1

APPLICATION FOR REGISTRATION AS A CREDIT-ONLY MICROFINANCE INSTITUTION

Instructions on how to complete this form.

- Attach annexures wherever necessary.
- Do not leave any questions blank or unanswered: where necessary answer "Not applicable" or "Not known".
- All responses in this form and all annexures shall be typewritten (block letters).
- Upon completion the original of this form and supporting annexures shall be submitted to:

  The Registrar of Microfinance Institutions
  Bank Supervision Division
  Reserve Bank of Zimbabwe
  80 Samora Machel Avenue, Harare

- All inquiries concerning this form should be directed to The Registrar as above.

PRELIMINARY

State the name, address and telephone number(s) of the person(s) who may be contacted regarding any questions in respect of this application:.....

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PARTICULARS AND INFORMATION RELATING TO THE APPLICANT CREDIT-ONLY MICROFINANCE INSTITUTION

1. Name under which applicant credit-only microfinance institution ("the applicant") seeks registration:.....

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2. Physical address of the applicant head office: .....
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3. Address of applicant's principal administrative office: .....
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4. Name, physical address and telephone numbers of the Chairperson: .....
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5. Name, physical address and telephone numbers of Chief Executive Officer: .....
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6. Name, physical address and telephone numbers of Chief Accounting Officer: .....
.....
.....

7. Names, physical addresses, and telephone numbers of directors (list)

Name	***Designation***	***Address***	***Telephone***

8. Indicate the capital structure of the applicant under the following headings:

(a) Authorized share capital .....

(b) Paid-up share capital .....

(c) Share Premium .....

Total .....

State the Source of Capital .....

9. (a) Shareholders of the applicant (direct and indirect).

Name of Shareholder	*Number of Shares*	*Percentage of Total Shares*

(b) If some shareholders mentioned in 13(a) above are natural persons, state their names, nationality and place of permanent residence.

Name of Shareholder	*Nationality*	*Place of Permanent Residence*

(c) If some of the shareholders mentioned in 13(a) above are juristic persons/corporate bodies, please submit certified copies of Certificates of Incorporation, Memorandum and Articles of Association or other constitutive documents.

(d) State below the names of natural persons who are beneficial owners of shares in the institutional shareholders mentioned in 13(c).

Institutional Shareholder	*Individual Shareholders*	*Percentage of Total Shares*

10. Where shares are held by juristic persons, shareholders should submit an affidavit declaring the details of ultimate beneficial shareholders, which should include names of institutional shareholders, the full names of natural persons who are beneficial owners of shares in the institutional entity and their respective percentage shareholding.

11. (a) Businesses/companies associated/affiliated with directors or businesses/companies in which directors hold a senior position

Director's Name	*Business Interests*

(b) Businesses/companies associated/affiliated with directors' close relative or businesses/companies in which directors' close relative hold senior positions.

Director's Name	*Close Relative's Name*	*Business Interests*

12. Name, address and type of business of any associate of the applicant .

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13. Describe all business relationships which any of the directors have or propose to have with the applicant, giving details of the following, if applicable:

(a) Borrowings: (to what extent is any director or officer indebted to or permitted to borrow from the applicant? Provide details. .....

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(b) Guarantees: (has the applicant directly or indirectly guaranteed, underwritten or otherwise secured any business or obligation of any director or does it propose to do? Yes/No. If yes, provide details)

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(c) Consulting, management, or service contracts: (to what extent will any director directly or indirectly provide consulting, management, advisory or other types of services under contractual arrangement or otherwise to the applicant? Provide details.....

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14. Has any acquisition debt been incurred by any of the initial shareholders of the applicant, that is, has any loan been taken by, or guarantee or surety given on behalf of, any of the initial shareholders of the applicant for the purpose of purchasing shares in the applicant? Yes/No. If yes, provide details.

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15. Does the applicant own or control 5% or more of the share capital or voting rights of any other microfinance institution or banking institution? Yes/No. If yes, provide details, including percentage and form of ownership or control.

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16. Provide details of applicant's past and present membership of or affiliation to any professional or trade association concerned with microfinance or banking activities in Zimbabwe or elsewhere, including details of any refusal, termination or lapsing of such membership or affiliation and the reasons thereto.....

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17. Has the applicant or any of its associates ever been censured, disciplined, penalised, suspended, prosecuted, convicted, warned as to conduct, investigated or subjected to proceedings by or at the instance of any governmental agency, regulatory authority or professional association within or outside Zimbabwe, whether in connection with its banking activities or otherwise? Yes/No. If yes, provide details.....

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18. Has the applicant or any of its associates ever been or is now the subject of any litigation, in Zimbabwe or elsewhere, which may have a material effect on its resources? Yes/No. If yes, provide details.

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19. Does the applicant or any of its associates have any outstanding judgment debt issued in Zimbabwe or elsewhere? Yes/No. If yes, provide details.

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20. Has the applicant or any of its associates been adjudged by a court in Zimbabwe or elsewhere to be civilly liable for fraud, malfeasance, or other misconduct on its part? Yes/No. If yes, provide details.

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21. Has the applicant or any of its associates ever, under the law of any other country:—

(a) been adjudged or otherwise declared insolvent or bankrupt and has not been rehabilitated or discharged?: Yes/ No;

(b) made an assignment to, or, arrangement or composition with, his creditors, which has not been rescinded or set aside?: Yes/ No;

(c) been convicted of theft, fraud, forgery, uttering a forged document or perjury or any other offence, by whatever name called, that is similar to any of those offences?; Yes/ No;

(d) been convicted of any offence and sentenced to a term of imprisonment exceeding six months, imposed otherwise than as an alternative to or in default of payment of a fine, and has not received a free pardon? Yes/No.

If the answer to any of these questions is "Yes", provide details. .....

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22. Are there any material disputes between the applicant and the Zimbabwe Revenue Authority or the authority responsible for collecting taxes in any other country with respect to any assessment for income tax or other taxes payable by the applicant? Yes / No? If yes, provide details. (Attach tax clearance certificates)

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23. Describe the premises and equipment (furniture, fixtures, office machines, vehicles, etc.) to be used by the applicant, indicating whether and from whom they are purchased, leased, acquired under a hire purchase agreement or instalment sale, or otherwise. .....

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24. Complete the Checklist for Information Requirements for Microfinance Institutions attached hereto.

25. Provide any other information in connection with this section of the application that may assist the Registrar in fully evaluating the merits of this application.

Declaration

We, the undersigned, Chairman and members of the Board of Directors of the applicant, do hereby certify that—

(i) all information given in response to and in support of the questions and items in this form is true and correct to the best of our knowledge and belief;

(ii) this application is made in good faith with the purpose and intent that the affairs and business of the applicant will at all times be honestly conducted in accordance with good and sound business

principles and in full compliance with all applicable laws and lawful directives.

We further certify that to the best of our knowledge and belief there are no other facts or information relevant to this application of which the Reserve Bank of Zimbabwe should be aware, and we pledge to promptly inform the Reserve Bank of Zimbabwe of any changes material to this application which may arise while it is being considered by the Reserve Bank of Zimbabwe. We undertake to comply with all information requests by the Reserve Bank for regulatory / supervisory purposes, and hereby authorize the Reserve Bank of Zimbabwe and any of its authorised staff to make an inquiry or obtain any information from any source for the purpose of determining the correctness of all representations made in connection with this application or of assessing its merits.

Chairman of the Board (print name)

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Signature

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Chief Executive Officer (print name)

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Signature

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Director (print name)

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Signature

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Director (print name)

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Signature

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Director (print name)

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Signature

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SECOND SCHEDULE (*section 3(1)(j)*)

AFFIDAVIT OF FITNESS AND PROBITY

This affidavit must be completed truthfully. Providing false information shall result in an automatic disqualification. Generally, truthful responses shall not automatically lead to a disqualification if the deponent submits a valid police clearance, pardon or exoneration from a professional body.

I, [*insert name, national registration number*] of [*insert physical address*], do hereby make oath and state that:

1. [insert declarations as to directorships in other companies];

2. [insert declarations as to shareholding and level of shareholding in other companies (including shareholding in a related subsidiary, whether held directly or indirectly through other interests];

3. [insert declarations as to the identity of the beneficial owner of shareholding in the microfinance institution (this clause is applicable to shareholders)];

4. [insert declarations as to source of funds used to acquire the shareholding in the microfinance institution including whether payment for the shares or capital contribution was from borrowed funds];

5. [insert declarations as to whether you have the appropriate qualification and experience to effectively fulfil the role and responsibilities of the position and attach employment resumé];

6. [insert declarations as to whether you are assuming concurrent responsibilities and how you will manage conflict of interest and ability to discharge your duties];

7. [insert declarations as to whether you are or have been the subject of any proceedings of a disciplinary or criminal nature, or have been notified of any impending proceedings or of any investigations, which might lead to such proceedings];

8. [insert declarations as to whether you are or have been the subject of civil or financial crime within the last five (5) years or enforcement action, in relation to the management of an entity, or commercial or professional activities, which were determined adversely against you (including consenting to an order or direction, or giving an undertaking, not to engage in unlawful or improper conduct)];

9. [insert declarations as to whether you have faced criminal convictions or served sentences and whether you have been granted free pardons, whether in Zimbabwe or any other country];

10. [insert declarations as to whether you have contravened any provision made by or under any written law designed to protect members of the public against financial loss due to dishonesty, incompetence or malpractice];

11. [insert declarations as to whether you have contravened any of the requirements and standards of a regulatory body, professional body, government or its agencies];

12. [insert declarations as to whether you or any business in which you have a controlling interest or exercises significant influence, has been investigated, disciplined, suspended or reprimanded by a regulatory or professional body, a court or tribunal, whether publicly or privately];

13. [insert declarations as to whether you have made any arrangements or composition with your creditors, filed for bankruptcy, been adjudged bankrupt, had assets sequestrated, or been involved in proceedings relating to any of these];

14. [insert declarations as to whether you have held a position of responsibility in the management of a business that has gone into insolvency, or liquidation while you were connected with that business and whether you contributed to receivership, insolvency, or liquidation];

15. [insert declarations as to whether you have been a director of, or directly concerned in the management of, any institution which is being or has been wound up by a court or other authority competent to do so, or of any regulated entity, the licence of which has been revoked under any written law and whether you contributed to the winding up];

16. [insert declarations as to whether you have non-performing loans with any banking institution, building society, microfinance institution or other lending institution in Zimbabwe or outside Zimbabwe]; and

17. [insert declarations as to whether you have any outstanding judgement debts in Zimbabwe or outside Zimbabwe or bad debts with retailers, utility companies or any other credit service provider in Zimbabwe or outside Zimbabwe]; and

18. [Insert declarations as to whether you are free from any business or other relationship which could materially pose a conflict of interest in discharging your duties as an appointed person within the institution].

Thus, done and sworn to at…… this …… day of …… 20…

……
[name of person deposing to the affidavit]

…….....
[signature of person deposing to the affidavit]

Before me:……
[Commissioner of oaths]

This… day of …… 20……

THIRD SCHEDULE (*section 3(1)(k)*)

PRE-OPENING CHECKLIST FOR DEPOSIT-TAKING MICROFINANCE INSTITUTIONS

Please note that—

(a) this pre-opening checklist should be completed and submitted together with the application for registration as a deposit-taking microfinance institution;

(b) the applicant should indicate by ticking in the appropriate box such of the features that it will be able to comply with on submission of the application for registration as a deposit-taking microfinance institution and those that it will comply with by the end of the provisional registration period (it is not mandatory to have complied with the requirements listed in this checklist on submission of application for registration);

(c) a pre-opening inspection conducted by the Reserve Bank in terms of section 7 will include a verification of compliance by the institution with the requirements of the Act and these regulations.

Item	Description	To Be Complied With (tick appropriate box below)	
		On submission of application for Registration	By the end of the Provisional Registration
INFRASTRUCTURE	Lease agreements for rented premises or copies of title where premises are owned		
	Distinct signage outside and inside all branches and head office with registered name of deposit-taking microfinance institutions		
FINANCE AND ACCOUNTING	Integration of accounting systems and adequacy of internal controls		
STAFFING	Adequate staff to cover all functions		
	Job descriptions for all staff		
TREASURY OPERATIONS	Contingency funding plans		

	Treasury dealing system with back office and core banking system interface		
	Management information system capable of generating reports including reports on deposits and counterparty exposures & limits		
	Logical and physical access restrictions between front office, back office, and middle offices		
	Dealer, counterparty, and product limits		
	Call logging system with adequate back up arrangements		
	Signing authority and mandates for all treasury documents		
CREDIT OPERATIONS	Credit information technology system interfaced with core banking system		
	Information technology systems that fully support credit appraisals, credit scoring, credit reporting, and credit monitoring functions		
CENTRALISED OPERATIONS	Suspense and general ledger accounts		
	Password and stamp registers		
	Journal vouchers and other controlled stationery		
	Information technology system configured to ensure non-violation of user rights or unauthorised access		
	Audit trail for account opening and closure		
	Management information system (MIS) to support centralised operations		

CASH HOLDING AND SECURITY ARRANGEMENTS	Overnight cash holding limits and insurance arrangements		
	Cash depot physical security measures such as closed-circuit television (CCTV), alarm system, screening or metal detectors at all entry points, physical access restriction e.g. access tag system		
	Demonstrable secure cash-in-transit (CIT) arrangements		
	Dual control of safes and vaults		
	Vault access/key register arrangements		
SAVINGS AND RELATED PRODUCTS	Product pricing		
	Adequacy of information technology and internal controls to ensure segregation of duties in product administration		
CARD HANDLING	Logical and physical segregation of duties for bank card and personal identification number (PIN) handling/administration		
	Secure arrangements for warehousing blank cards and cards awaiting dispatch to branches		
	Card register for recording stock of blank cards, cards produced, defective cards, returned cards, etc		
INFORMATION TECHNOLOGY	Availability of a core banking system that fully supports deposit-taking microfinance business operations		

	Duly signed service level agreements		
	User acceptance test scripts for the core banking system and other ancillary systems		
	Inventory of information technology equipment at data centres		
	List of individuals who have access to all IT facilities		
	Data and systems security arrangements		
	Disaster recovery arrangements		
BRANCH OPERATIONS	Specific internal accounts/ general ledger accounts should be opened for the branch's own transactions		
	Arrangement for armed security guards		
	Secure vaults for cash and other valuable assets (vault custodianship should be under dual control, secured by either electronic PINS or security locks)		
	Secure teller cubicles in the banking halls		
	Security systems such as reaction-team linked alarm system and panic buttons		
	Closed circuit television (CCTV) with adequate back up arrangements installed at all strategic points such as automated teller machines (ATMs), teller cubicles, entrances to the vaults and back exit door		
	Separate staff entrance as part of security arrangements		
	Screening metal detectors at entrance into the branch, revolving or coded doors		
	Adequate branch cash insurance cover		

	Display of authenticated copy of registration certificate in all branches and head office		
	Display of services offered, interest rates and other charges		
	Display of names of directors, chief executive officer and branch managers in all branches		
	Distinct deposit-taking microfinance institutions branded stationery to facilitate all customer and internal transactions (stationery must include name of institution and the fact that it is a registered microfinance institution)		
	Staff reporting registers, controlled stationery registers, asset registers		

FOURTH SCHEDULE (*section 12(2)*)

PERMISSIBLE ACTIVITIES FOR AGENCY BANKING

(1) An approved agent of a microfinance institution may be permitted to conduct any or all of the following microfinance activities (provided the microfinance institution has the authority to provide the said microfinance activity)—

(a) cash deposit and withdrawal;

(b) bill payment (utilities, taxes, rates, subscriptions etc.);

(c) internal funds transfer;

(d) balance enquiry;

(e) generation and issuance of mini statements;

(f) collection and submission of documents including account opening, loan application, and collection of credit card and RTGS forms and correspondences for customers;

(g) loan disbursement and cash repayment of loans;

(h) opening of low cost or basic accounts, as may be approved by the Reserve Bank of Zimbabwe from time to time; and

(i) any other activity as the Reserve Bank may, from time to time, permit.

(2) Activities listed under paragraphs (a), (f) and (h) shall only be permissible for deposit taking microfinance institutions.

FIFTH SCHEDULE (*section 27(5)*)

FORM MFI 3

APPLICATION FOR CHANGE OF CONTROL OR ACQUISITION OF A SIGNIFICANT INTEREST IN A MICROFINANCE INSTITUTION

Instructions on how to complete this form.

- This form is required to be completed by every person (hereafter in this form called the "acquirer"), whether corporate or individual, wishing to acquire a significant interest in a registered microfinance institution.
- Attach annexures wherever necessary.
- Do not leave any questions blank or unanswered: where necessary answer "Not applicable" or "Not known".
- All responses in this form and all annexures shall be typewritten.
- The Registrar or the Reserve Bank may, at their discretion, disclose to other regulatory authorities any information contained in this application or obtained from other sources if it is deemed necessary and relevant for properly evaluating and deciding on this application.
- Upon completion the original of this form and supporting annexures shall be submitted to:

The Registrar of Microfinance Institutions
Reserve Bank of Zimbabwe
P.O. Box 1283
80 Samora Machel Avenue
Harare,
Zimbabwe

PRELIMINARY

State the name, address, and telephone number of the person(s) who may be contacted regarding any questions in respect of this application:

SECTION I: PROPOSED ACQUIRER

1. Name, address and capacity (corporate or individual) of the acquirer. In the case of any other microfinance business or microfinance activity presently or previously conducted or to be conducted by the acquirer inside or outside

Zimbabwe, any other name(s) under which the acquirer conducts or proposes to conduct such business or activity, the location and nature or class of such business or activity, the details of any licences, registrations or other authorisations issued and the names and addresses of the issuers of the same: .....

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2. Address of principal administrative office of acquirer: .....

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3. Legal form of corporate acquirer (financial institution [specify]/company other than a financial entity/partnership/trust/syndicate/joint venture/other [specify]) and date of its incorporation or formation: .....

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4. Describe the nature and extent of the significant interest acquired: .....

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5. As a result of the proposed acquisition, will there be any changes in the individuals serving as directors or principal officers of the microfinance institution? Yes/No. If yes, names, addresses, and titles or positions of the proposed new directors and principal officers: .....

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6. As a result of the proposed acquisition, will there be any changes in the microfinance institution's capital structure within one year after the acquisition? Yes/No. If yes, Indicate the new capital structure of the microfinance institution under the following heads:

Share Capital and Reserves	***Amount***
Total Authorised Shares	
Par Value per share	
Total Authorised Share Capital	
Number of Issued Shares	

Total Issued Share Capital	
Share premium	
Irredeemable Cumulative Preference shares	
Retained earnings (prior and current year)	
Total Capital	

7. Describe all business relationships which any of the directors or principal officers mentioned in item 5 above have or propose to have with the microfinance institution, giving details of the following, if applicable:

Borrowings (to what extent is any director or principal officer indebted to or permitted to borrow from the microfinance institution? Yes/No. If yes, provide details: .....
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Guarantees (has the microfinance institution directly or indirectly guaranteed, underwritten or otherwise secured any business or obligation of any director or principal officer or does it propose to do? Yes/No. If yes, provide details): .....
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Consulting, management, or service contracts (to what extent will any director or principal officer directly or indirectly provide consulting, management, advisory or other types of services under contractual arrangement or otherwise to the microfinance institution? Yes/No. If yes, provide details) .....
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8. As a result of the proposed acquisition, will there be any changes in the microfinance institution's auditors within one year after the acquisition? Yes/No. If yes, name and address of the new auditors (in the case of a partnership, give the name of the partnership and of the partner principally responsible for the audit of the microfinance institution): .....
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9. Name, address and type of business of any associate of the acquirer which will be associated in any way with the microfinance institution (apply the definition of "associate" used in relation to a microfinance institution under the Act as if it related to an associate of the acquirer): .....
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10. Does the acquirer own or control, or has it ever owned or controlled, 5% or more of the share capital or voting rights of any other microfinance institution? Yes/No. If yes, provide details, including percentage and form of ownership or control: .....
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11. Provide details of acquirer's past and present membership of or affiliation to any professional or trade association concerned with microfinance activities in Zimbabwe or elsewhere, including details of any refusal, termination or lapsing of such membership or affiliation and the reasons therefor: .....
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12. Has the acquirer or any of the associates of the acquirer ever been censured, disciplined, penalised, suspended, prosecuted, convicted warned as to conduct, investigated or subjected to proceedings at the instance of any governmental agency, regulatory authority or professional association within or outside Zimbabwe, whether in connection with microfinance activities or otherwise? Yes/No. If yes, provide details: .....
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13.Has the acquirer or any of the associates of the acquirer ever been or is now the subject of any litigation, in Zimbabwe or elsewhere, which may have a material effect on its resources? Yes/No. If yes, provide details: .....
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14. Has the acquirer or any of the associates of the acquirer failed to satisfy any outstanding judgment debt issued in Zimbabwe or elsewhere? Yes/No. If yes, provide details: .....
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15.Has the acquirer or any of the associates of the acquirer been adjudged by a court in Zimbabwe or elsewhere to be civilly liable for fraud, malfeasance, or other misconduct on its part? Yes/No. If yes, provide details: .....

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16. Has the acquirer or any of the associates of the acquirer ever: been adjudged insolvent by a court, in Zimbabwe or elsewhere? (Yes/No); been served with an insolvency petition or petition for its compulsory winding-up within the last 10 years in Zimbabwe or elsewhere? (Yes/No); made any compromise with its creditors? (Yes/No); had any liquidator, receiver of property or judicial manager (final or provisional) appointed in relation to it or its property? (Yes/No); instituted proceedings for its voluntary winding up within the last 10 years in Zimbabwe or elsewhere? (Yes/No). If the answer to any of these questions is yes, provide details: .....
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17. Are there any material disputes between the acquirer and the Revenue Authority of Zimbabwe or the authority responsible for collecting taxes in any other country with respect to any assessment for income tax or other taxes payable by the acquirer? Yes/No. If yes, provide details: .....
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18. In the case of a corporate acquirer, provide a list of the names of and number of shares held by the initial members or shareholders of the acquirer (if the number of shareholders exceeds 200, list only those holding 0,5% or more of the shares). If any member or shareholder of the acquirer holds 5% or more of the share capital of the acquirer or of the voting rights of members of the acquirer, give details of the name, address, nationality, and extent of the holding of each such member or shareholder:

Name	Beneficial Owner	Nationality	Percentage Shareholding

19.....Has any acquisition debt been incurred by the acquirer, that is, has any loan been taken by, or guarantee or surety given on behalf of, the acquirer for the purpose of purchasing shares in the microfinance institution? Yes/No. If yes, provide details: .....

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20. As a result of the proposed acquisition, will there be any changes to the microfinance activities undertaken by the microfinance institution within one year after the acquisition? Yes/No. If yes, list the new microfinance activities the microfinance institution proposes to engage in, and those, if any, microfinance activities it will be discontinuing: .....
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21. Describe the premises and equipment (furniture, fixtures, office machines, vehicles, etc.) to be used by the acquirer, indicating whether and from whom they are purchased, leased, acquired under a hire purchase agreement or instalment sale, or otherwise: .....
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22. Provide any other information in connection with this section of the application that may assist the Registrar and the Reserve Bank in fully evaluating the merits of this application: .....
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Declaration

I/We, the undersigned do hereby certify that all information given in response to and in support of the questions and items in this application is true and correct to the best of my/our knowledge and belief;

I/We further certify that to the best of my/our knowledge and belief there are no other facts or information relevant to this application of which the Registrar of Microfinance Institutions or the Reserve Bank of Zimbabwe should be aware, and I/we pledge to promptly inform the Registrar and the Reserve Bank of Zimbabwe of any changes material to this application which may arise while it is being considered by the Registrar and the Reserve Bank. I/We hereby authorise the Registrar and the Reserve Bank and any of its authorised staff to make an inquiry or obtain any information from any source for the purpose of determining the correctness of all representations made in connection with this application or of assessing its merits.